

respectable can be counted on to behave well forever. Well, it can't. Fifteen years ago Schlumberger was the favorite stock of most institutional investors, and though it is still a major company, its superstar status is long gone. Ten years ago, IBM's dominance of the computer industry was considered unbreakable. For that matter, a hundred years ago the company considered the best managed and most profitable in the country was the Pennsylvania Railroad.

Superior investors, then, look at the current icons with a high degree of skepticism. These folks are the first in the crowd to point out that the emperor is stark naked. And that pretty much defines the role of humor. So much in life is designed to trap you into conformity; the joke and the cartoon help you wriggle free.

For professional investors like myself, a sense of humor is essential for another reason. We are very aware that we are competing not only against the market averages but also against one another. It's an intense rivalry. We are each claiming, "The stocks in my fund today will perform better than what you own in your fund." That implies we think we can predict the future, which is the occupation of charlatans. If you believe that you or anyone else has a system that can predict the future of the stock market, the joke is on you.

I know humor has been invaluable to me as an investor. It clears and sharpens the mind and hones one's contrariness. I highly recommend it. And I hope you accept whatever humor you find in the following pages as more than froth—a lesson in how to look at the investment world afresh.